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REAL ESTATE

Redfin Shuts Home-Flipping Business, Lays Off 13% of Staff in Slumping Housing Market

CEO says Redfin has tied up hundreds of millions of dollars in houses that 'you yourself wouldn't want to own'



Redfin is forecasting that the real-estate market will be smaller in 2023.

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By Will Parker Follow

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Real-estate company Redfin Corp. laid off 13% of its staff on Wednesday and closed its home-flipping unit, saying the operation was both too expensive and too risky to continue.

The Seattle-based company, which operates a real-estate brokerage and home-listings website, said the decisions were made because it is predicting that the real-estate market is going to be smaller next year and its home-flipping business is losing money. It previously laid off 8% of its workforce in June of this year.

The closure of Redfin's home-flipping business, RedfinNow, follows Opendoor Technologies Inc. posting record losses last week. The biggest home-flipping company sold too many homes for less than their purchase price. Opendoor blamed the pace of rising interest rates for throttling the housing market faster than the company could predict.

Opendoor and RedfinNow are two large names within a small contingent of tech-powered real-estate businesses known as iBuyers, or companies that use algorithms to price homes for purchase, make quick renovations, and then resell them within a few months. Redfin started testing iBuying five years ago to offer home sellers a faster way to sell and to expand its listing share.

In a Wednesday morning email to staff, Redfin's chief executive, Glenn Kelman, cited difficulties with the changing housing market that echoed comments made by Zillow Group Inc. last year when it decided to close its home-flipping outfit.

"iBuying is a staggering amount of money and risk for a now-uncertain benefit," Mr. Kelman wrote. "We've tied up hundreds of millions of dollars in houses that you yourself wouldn't want to own right now."

The home-flipping business accounted for about 43% of Redfin's total revenue in the second quarter. Some analysts have been skeptical of the venture from the beginning, however, and expressed relief to see Redfin turning away from flipping.

"We think this cleans up the [Redfin] operation," analysts at Stephens Inc. wrote in a Wednesday morning note.

Redfin reported its third-quarter earnings on Wednesday afternoon. It posted a net loss of more than $90 million, more than four times the net loss reported in the same quarter a year ago. The company will likely lose at least $22 million on home-flipping for the full year of 2022, excluding operating costs, Mr. Kelman said on an earnings call.

Redfin aims to sell all the homes still on its books by the end of the second quarter of next year.

Mr. Kelman said that higher rates meant Redfin couldn't make offers on as many homes as it once had, which contributed to the company's decision to close its flipping operation.

"Home prices will at some point stabilize, but the cost of capital isn't going back to 2021 levels any time soon," he said.

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